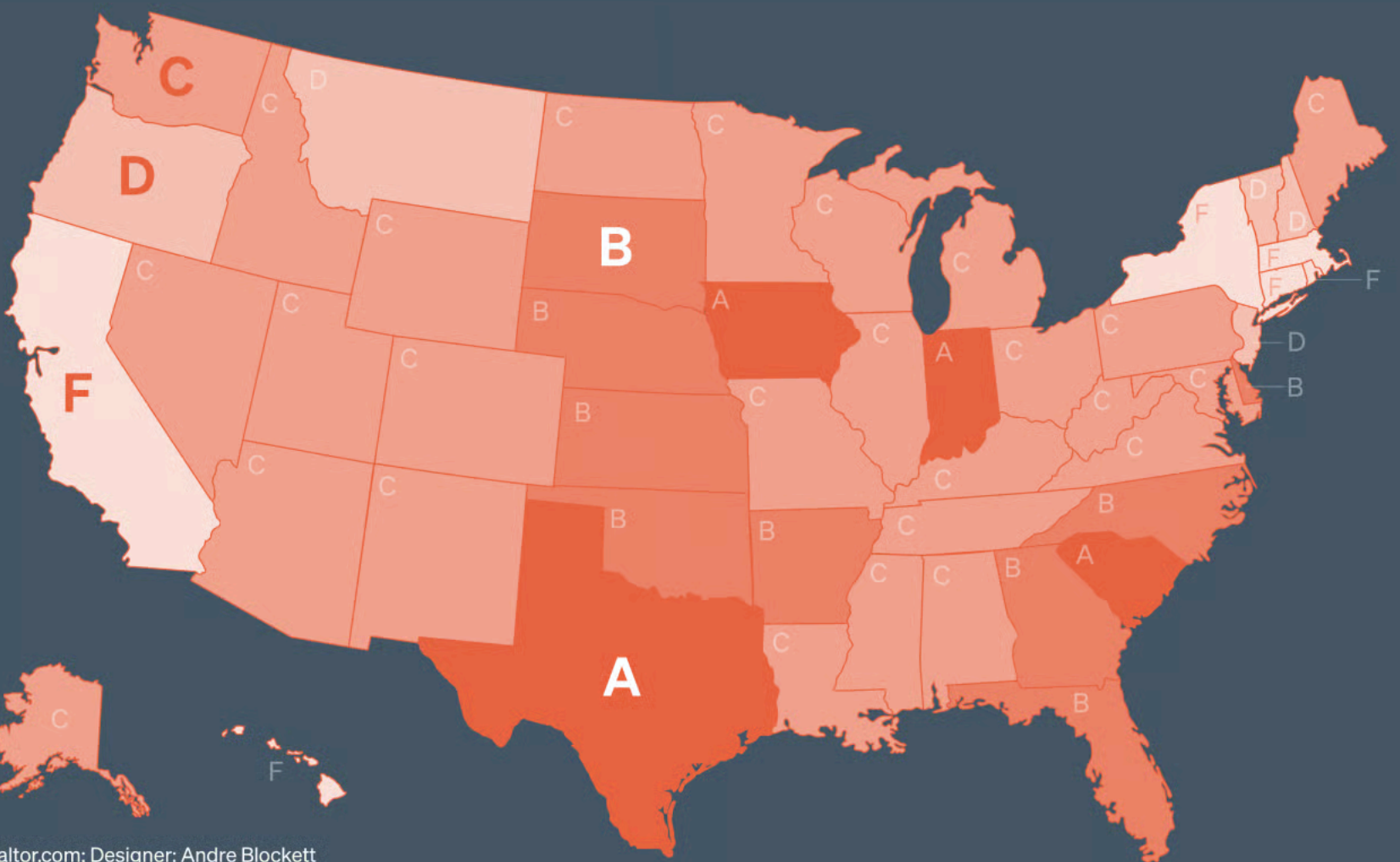


America's housing report card is out

Does your state's housing market make the grade?

A	
B	
C	
D	
F	



Source: Realtor.com: Designer: Andre Blockett.

TOPICS: Housing Market / Regional & Local Performance / High-Growth Regions

What the top four states have in common: They build more, regulate less, and deliver homes people can afford. Class dismissed.

States that flunked

Finishing at the very bottom of the class is New York, where homes cost \$668,173 (over 55% of the median income) and building permits meet only half of what the state’s population needs. Massachusetts, Rhode Island, Hawaii, California, and Connecticut also failed for the usual reasons: too little land, too much red tape, and high construction costs that become the buyers’ problem.

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The grades break down pretty cleanly by region: All A’s and B’s belong to the South or the Midwest; all six Fs lie in the Northeast and the West. Still, what counts as a “good” or “bad” grade will depend on whether you’re trying to buy, sell, renovate, or rent out your place.

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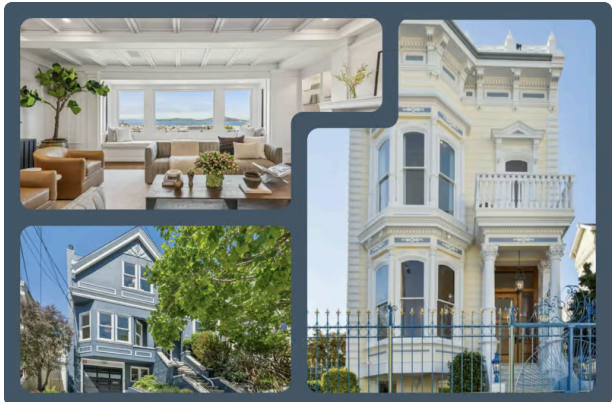
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“Investors [may want] to read these report cards backward,” says Joel Berner, a Realtor.com senior economist. “Low-scoring states like New York and Massachusetts have low rates of homebuilding relative to their population, which keeps renters renting longer. These states are good places to be a landlord.” Meanwhile, he says, flippers will excel in states with high construction premiums like Iowa, where new homes cost 56% more than old ones and “there is ample opportunity for flippers to renovate homes with [a high] return on investment.”

Consider this your hall pass to shop somewhere new. Nicholas Fernandes of [Bright Bloom Real Estate](#) lives in Massachusetts, but got interested in the Hoosier State during a layover at the Indianapolis airport on Christmas. “Indianapolis surprised me: clean, organized, growing,” he recalls. “When I got home, I ran the numbers.” At age 27, Fernandes bought his first investment property in Indy for \$167,000. “That property is now one of four I own in the area,” he says. “My grandpa always told me to look at the numbers. In Indiana, the numbers work.”

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